



CIA 4Uo-A- Analyzing Current Economic Issues

Analysis in “Xenophobic attacks on foreign nationals” in South Africa

MINTY GONG

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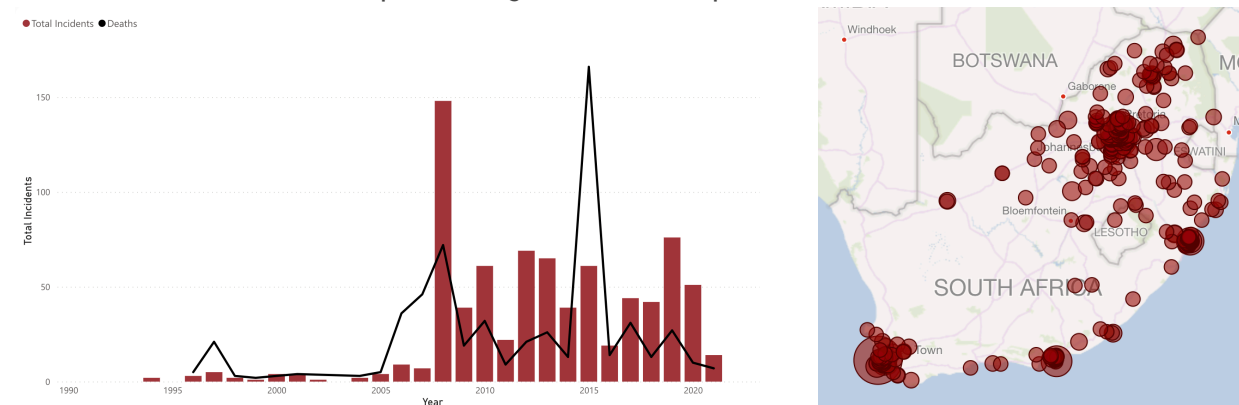
History and Present

Apartheid racism

The origin of xenophobic attack in south Africa can traced back to the governing period of the national party (NP) from 1948 to 1994, when the apartheid was implemented. Apartheid was a binary racial segregation system led by governmental racism, which was constructed and protected by legislation by the then government. In this system, the white was the privileged and the black was the inferior. This resulted in the prevalence and widespread of racial discrimination in South Africa. Meanwhile, the South African at that time had a strong concept of class based on race. Therefore, the discrimination and violence was even worse and stricter on the refugees who was fled from nearby poor and war-torn countries. In addition, the black South African had long been oppressed underclass. They were particularly hostile of some refugees, because those refugees crowded out what little living space they had left. Coupled with the extreme racial policies of the then government, these refugees were not recognized as refugee identity and didn't be provided with basic health care, job opportunities, living costs and economic resources. However, their situation did not get better after the end of apartheid, and the racist effects originating from apartheid have been continuing till now.

Xenophobic attacks after apartheid

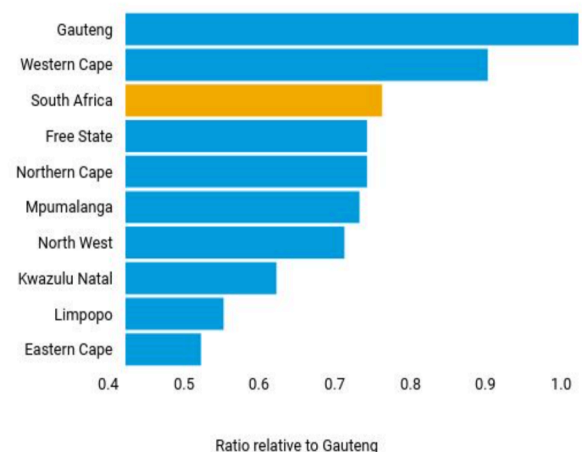
Statistics overview and map showing till 1994 to April 2021



After the end of the apartheid policy, South Africa have been carrying out majority rule since 1994, governed by the African National Congress (ANC). Xenophobic attack did not decrease as expected, but became more and more intense. Xenophobic attacks had a huge increase in the 2000s, and reached a peak in 2008 and 2015. Since 1994, there have been totally 796 incidents, with 4,693 shops looted and 588 deaths. 2008 is the year with the highest number of incidents, which is 149. Due to the impact of the 2008 financial crisis and the international situation at that time, south Africa's domestic economic situation was tense and the resources became scarce. Citizens felt that they had lost their benefit in employments and social welfare. As a result, their xenophobia had intensified. As well, they turned their fear and stress on the into violence against foreign nationals. It is 2009 that has the highest death number which is 166. At that time, citizens were swept in the high unemployment and

heard rumors about crimes and murders committed by foreign nationals, which led to several xenophobic attacks. The incidents also led numerous African countries to announce the withdrawal of their nationals. From the perspective of regional distribution, the occurrence frequency of incidents does not have a strong correlation but a relationship with the economic level of the region. In general, xenophobic incidents in the most economically developed and economically backward areas of South Africa are more frequent than those in other averagely developed areas. As an example, Gauteng is the most developed region which is the main economic provinces in south Africa, however, it is also the most frequent region for xenophobic attacks.

Province	Total Incidents
Gauteng	343
Western Cape	139
Kwazulu Natal	105
Eastern Cape	61
Limpopo	44



Source: Stats SA, using Q4:18 GDP and 2018 mid-year population estimates.

Government measures

The NAP-19

The Nap-19 refers to the 2019 national action plan to combat racism, racial discrimination, xenophobic and related intolerance, which demonstrates that the government now have begun deciding to combat xenophobia and other forms of discrimination. Furthermore, it is much more positive of government to take this action than their attitude and behaviors facing the issue of xenophobia in former years. However, comparing the number of xenophobic attacks incident between 2019 and 2020, it declined from 76 to 51. Consequently, the first year of the implementation of the plan was not efficient and effective enough. Besides, we cannot rule out the influence of the 2020 pandemic on this decline.

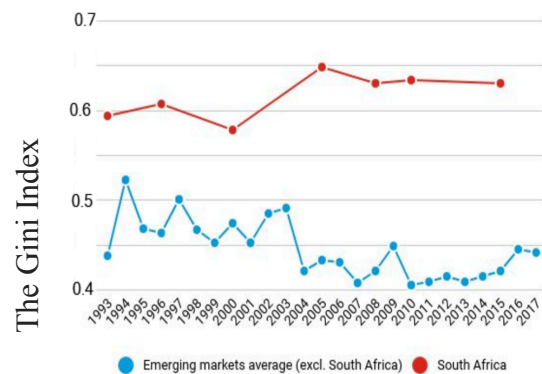
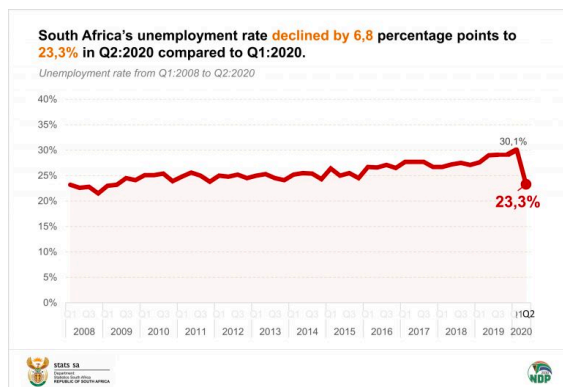
Economic Concepts

Economic goal

Economic goals are set as targets to focus on use of productive. The main reason for xenophobic attacks on foreign nationals is that the government fails to meet the standards of some economic goals, which leads to social instability and high crime rate.

Full employment

It is an economic goal that governments try to promote the full employment of the labour force in attempt to reach their optimal. "Full employment" is usually defined as between 6 and 7 percent of the labour force being of work. Whereas, South Africa has a high unemployment rate which keeps above 20 percent recent years and far from the requirement of full employment. It means that low quality workforce market has access to saturate and is very unstable. Large number of poverties probably can not get a job to keep living. It leads to them believe that it is the foreign nationals that take their jobs, putting them out of work. Some radical have turned their stress, anger and hatred towards those foreign nationals for being poor, unemployed and struggling to survive, resorting to violent xenophobic attacks on them.



Source: World Development Indicators.

Equitable Distribution of Income

It is an economic goals about the equitable, or fair, distribution of income. South Africa is one of the most unequal countries all over the world. The Gini index in one of the important indicators to judge the gap between rich and poor. The higher the Gini index, the larger the gap between rich and poor. According to the table above, the Gini index of South Africa remains high and much bigger than emerging markets average level, and these inequalities have not been reduced. It is because South Africa is such a typical dual society which makes the society unstable and aggressive. The mentality of citizens, especially those who are poor and underclass, early become unbalanced, radical, emotional and violent. One of the reasons of xenophobic attacks is originated from their minds of jealousy and anger at their own incompetence. For example, some shops run by foreign nationals are raided and looted because they think the foreign nationals are more profitable and successful than they are.

Needs

Needs refer to the basic human physical requirements necessary to sustain human life. Employment is the main way for a person to obtain their needs, including food, clothes and shelter. High unemployment in South Africa makes some people struggling to keep living and stay poor because they do not have a job to get enough needs for their sustain human life. This makes them become xenophobic to those foreign nationals who have job and live better than them.

Wants

Wants refer to the desire for goods and services not essential to sustain human life. Which similar with needs, their desire and wants for equal society, better life and abundant supplies cannot be satisfied. They feel disgruntled and turn that discontent into hatred and hostility towards foreign nationals, becoming xenophobia. People who are more radical will resort to xenophobic attacks

Resource

Resource means inputs used in the production of goods and services. In addition, in economics, resources also refer to anything people can use to create or manufacture valuable goods and services. South Africa's resources are not plentiful for most of its people, and competition for them is fierce. Such a highly competitive environment for resources is another reason why xenophobia is widespread among South Africans.

Tangible resource

Tangible resource is the resource that people can touch. Labour is involved in tangible resources. South Africa's Labour market meets strict unequal. High-quality skilled labour is scarce and the market for low-skilled, repetitive labor is saturated. This makes obtaining a work visa in South Africa becoming difficult with a high requirement. Concluding amount of foreign nationals cannot get work visas and an illegal identity, they had to do some low-quality and unstable job, competing with native South Africans. Additionally, things like goods, shelter and capital are also tangible resource. South Africa has a plenty of poverties who do not have enough resource like money to maintain their normal life. They had to look for ways to find out those resources that are cheap enough, with intention of accessing a basic survival requirement. However, these cheap resources are limited, causing a high competition for them. Besides, a number of illegal immigrants are involved in these poverties. This creates their xenophobia against illegal immigrants, whom compete for resources with them together.

Intangible resource

Intangible resource is the resource that people can't touch, which includes environment for enterprise. The social environment of South Africa belongs to this category, which is dualistic and unstable. Its huge gap between rich and poor and high crime rate both represent

that it doesn't have a good environment suitable for economic development. However, this unstable, aggressive and competitive social environment a big background for xenophobic attacks. Furthermore, some social values are also related with this issue, like a vestige of racism brought about by apartheid, the nationalism of South Africa and the ethnocentrism. All these above are not good and efficient intangible resource, which means in these aspects, good intangible resource is lack for people. It is also the indirect reason for the xenophobia.

Scarcity

Scarcity refers to a situation in which only a limited amount of resources are available to produce a limited number of goods and services to meet relatively unlimited human wants.

South Africa has a high unemployment rate and a plenty of poverties, which means a stable job opportunities is scarce, causing a high competitive environment. it led to the appearance of xenophobia in South Africa.

Opportunity cost

The cost of all that is lost from taking one course of action over another. When facing with xenophobic attacks, most polices would ignore and deal with them negatively, and even some of them would join in the attacks. The government only made a call for stopping xenophobia and did not have effective measures to deal with it before. They chose to take the action of not preventing and acquiescing in xenophobia attacks. The opportunity costs are that social is unstable, violence is frequent, international reputation become lower, no good and stable environment for economic development and the issue of racism left from history have not been solved.

Stakeholders in the Issue

Native Citizens

Self- interest and influence

They are on the side of the perpetrators in this issue, which is one of the majority stakeholders. The citizens, especially the young generation, are affected by the high unemployment and poverty rates in South Africa, as well as the wide gap between the rich and poor in the dualistic social structure, which make them difficult to find a stable job. It makes them trapped in the state of poverty without income for a long time, and they have no enough resources to meet their needs and wants. However, they believe that this situation is originated from the foreign Nationals who are crowding out their social welfare and taking away their jobs, thus producing xenophobia. They also attribute the high crime rate in South Africa to these foreign Nationals. They launch xenophobic attacks to drive away foreign nationals with the intention of making space for them in the low-quality labor market, so that they can have jobs and get rid of poverty. Moreover, the citizens of South Africa are now

trapped in a vicious circle. Their xenophobic attacks on feign nationals increase the crime rate, making social insecurity and instability. It provides an environment which is unsuitable for the country to grow the economy. As a result, the government is struggling to improve their high unemployment and low growth situation, as well as the citizens continue to resent unemployment and poor living conditions, which leads to more xenophobia and xenophobic attacks.

Response

Most people are happy to see the xenophobic attacks happened, tacitly or even approve with the perpetrators of the attacks. As well, there is widespread xenophobia among these people. Those who launched the attack also fall into this category of stakeholders. However, there are also some friendly and kindly citizens who do not agree with xenophobia and initiate activities to stop xenophobia. By contrast, this group is a minority.

Foreign nationals

Self- interest and influence

They are another generous part of this issue, which is the victims of these attacks. More than 70 percent of the foreign nationals in South Africa are mainly from the neighboring African countries such as Mozambique and Congo. Most of them come to South Africa to seek a better life and living conditions, leaving from the poverty and war-ton situation in their native countries. However, It will only happen if they can get enough resources in South Africa to meet their needs. Therefore, in order to make a living, they need jobs and resources. Whereas, South African work visas are hard to get. A large number of foreign nationals cannot obtain legal status, which means they do not have access to basic health care and economic resources, but stay in South Africa as illegal immigrants with the risk of deportation if they are found. Meanwhile, their status as illegal immigrants only allows them to seek work in a low-quality labor market where job opportunities are scarce. They struggle to survive in South Africa and their personal safety is not guaranteed. In the mean time, they suffer from persistent discrimination because of the prevalence of racism and xenophobia in South Africa. However, their suffering has received widespread attention from human rights organizations and the international community. It is this concern that has brought pressure to South Africa from many sides, being one of the reasons for their policy shift.

Response

After some large-scale xenophobic incidents, some of them would organize groups to hold anti-xenophobia parades, but these marches had little effect. They are mostly afraid and angry about the xenophobic attacks, which cannot lead to any results. For in South Africa, few people are punished because of the xenophobic incidents, whereas the foreign nationals are

discriminated against and treated differently and unfairly all aspects of life. In addition, most of the foreign Nationals currently in South Africa want to remain in South Africa and contribute to the country's economic development. However, they face many challenges in gaining legal status in South Africa and ensuring basic human rights making them worried about the current situation and desired for these things to be improved.

The Government

Self- interest and influence

The government wants South Africa to have political, economic and social stability, increasing productivity, produce efficiency and economic growth. Whereas, South Africa's high unemployment, high poverty and high crime rates are contrary to their wants, but they are not in a position to solve these problems temporarily. In order to prioritize the stabilization of their political power, the government turned its domestic problems toward foreign Nationals, which promoted xenophobia. Moreover, they acquiesce in and negatively deal with xenophobic incidents. All these make xenophobic attacks more frequent with a high level of xenophobia in South Africa. However, with the continuous development of the situation, the previous attitude and actions of the government on the issue are no longer applicable. The government's position has also shifted, which demonstrated by the Nap-19 released in 2019. The government have been ready to tackle xenophobia in a more proactive manner, in order to make the social environment in the country more stable and create conditions for economic development.

Response

At the beginning, the government acquiesced and ignored the xenophobic incident and did not admit it. They reacted negatively to the treatment of xenophobic incidents. As well, in the face of international condemnation, it only made some calls but not took any concrete actions. Moreover, xenophobia can even be endorsed and fomented by the government for political purposes. Nonetheless, afterwards they changed their tune, becoming more proactive. The government released the 2019 national action plan to combat racism, racial discrimination, xenophobic and related intolerance to try to resolve the issue. However, the implementation of government policies has not been very effective.

Other neighboring African countries

When xenophobic attacks occur, they condemn and oppose the indifference of the South African government to xenophobia, and take timely actions to withdraw their nationals to ensure their safety. However, their actions of withdrawing the nationals are exactly in line with the purpose of xenophobic incident. For their self-interest, a number of their own

citizens and talents have left for South Africa. They would rather have these Nationals go back to their country and contribute to their own countries' economy.

Native Business

Native businesses think foreign businesses are taking money away from them and are reluctant to share their success. They have xenophobia because they cannot compete successfully with foreign businesses. When xenophobic occurs, they have reactions and attitudes similar to those of native citizens. Whereas, these instability caused by the xenophobic attacks makes them do not have a stable and secure environment to do business.

Human rights organization

Human rights organizations are closely concern about the foreign nationals in South Africa whose human rights are not safeguarded. They strongly condemned racism and xenophobia in South Africa and hoped to help them improve the situation. It was their investigation and research that drew international attention to the issue of xenophobia in South Africa, prompting the South African government to acknowledge the problem and deal with it more actively in this issue.

Solutions

Governments protect foreign Nationals by legislative and administrative measures

BENEFIT	COST
It is a milder approach	Racial discrimination and xenophobia are still widespread
be benefit for enhancing international reputation	The implementation of actual policies easily faces challenges and concrete policies are difficult to implement actually
Foreign Nationals will be able to gain legal status more easily, making them better off overall	It doesn't address the underlying economic and social issues

BENEFIT	COST
Foreign nationals will be able to seek help from the government and the police when they encounter xenophobic attacks	Citizens will feel aggrieved at the treatment of foreign Nationals, which will stimulate people's thoughts against the government
The police will be more motivated and positive dealing with the xenophobic attacks	Domestic resources are likely to be even scarcer
Short-term effect is more significant and efficient	The long-term results are not effective enough
High execution	Unemployment and the issue of economic growth could be even more problematic
Neighboring countries will be more willing to establish trade relations with South Africa	
Highly qualified foreigners will be more willing to emigrate to South Africa	
It reduces the problem of unmanageable illegal immigration	

Strengthen border control and further reduce the illegal immigration

BENEFIT	COST
It can satisfy the xenophobia among citizens	Foreign Nationals' position will remain the same or become worse
Fewer people compete for domestic resources	Too radical
It will reduce the problem of unmanageable illegal immigration	The relations with neighboring countries will deteriorate

BENEFIT	COST
It will work effective for a short time	Lower international reputation
high execution	Will face condemnation from the international community and human rights organizations
	It is difficult to carry out for a long time
	Unemployment and the issue of economic growth could be even more problematic
	Racial discrimination and xenophobia are still widespread
	It doesn't address the underlying economic and social issues

Develop the economy and create more jobs

BENEFIT	COST
It is a milder approach	The effect is slow and it takes a long time
The citizens will have no objection to this solution	Difficult to enforce
It can improve the overall economy level of the country	Short- terms results are not effective
This issue can be thoroughly solved from the ideological level	Practical policy is hard to implement
the issue of high unemployment and poverty can be solved	Hindered by the national conditions of the country
The international reputation and status improved	Racial discrimination and xenophobia are still widespread
it is a long-term benefit	
Society will be more stable	
Highly qualified foreigners will be more willing to emigrate to South Africa	
Neighboring countries will be more willing to establish trade relations with South Africa	

Guide citizens in education and ideology to reduce xenophobia and racism

BENEFIT	COST
The legacy of racism leaving from the apartheid can be removed	It takes a lot of preparatory work on basic education
This issue can be thoroughly solved from the ideological level	no short-terms results
It is a milder approach	A lot of resources are needed
The citizens will have no objection to this solution	Difficult to enforce
It can improve the overall education level of the country	The problems of high unemployment and low growth have not been solved
The cultural environment of the whole country will be more inclusive	Practical policy is hard to implement
Highly qualified foreigners will be more willing to emigrate to South Africa	The effect is slow and it takes a long time
It can alleviate the issues of the large gap between the rich and the poor and the lack of high-quality labor	

The Best Solution

Compare to Canada

Only a few of extreme attacks in Canada are related to xenophobia. In terms of the overall environment, Canada's cultural environment is inclusive and multi-culture, which is advanced and diversified. This allows Canada to accept different ethnic groups instead of rejecting them. In addition, Canada is an immigrant country, which does not repel immigrants and foreign nationals like South Africa and has a large number of illegal immigrants. In addition, The government is motivated by the plan to attract high-quality immigrants and will not be channelling xenophobia for political ends. Moreover, compared with South Africa, Canada has a developed economy, low unemployment rate, abundant resources, low poverty rate and high social welfare, which can basically meet people's needs and part of their wants. The society is more stable and the crime rate is lower. Nor does xenophobia often arise, xenophobic attacks are even less. Nonetheless, there are also some extreme racists and radicals in Canada who incite xenophobia and do xenophobic attacks on foreign Nationals. However, the public opinion of the whole society disapproves of these people and incidents, believing that this is contrary to the social value of Canada. As well, the media and the government have been quick to resist these thoughts and incidents, and the government has effective policies to control these phenomenon, punishing perpetrators and protecting victims.

Reference

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